

The Lifetime Learning Credit allows you to earn a credit even if you are in graduate school, and for some continuing education expenses related to your job. The maximum credit is \$2,000, but you only get credited 20 percent against your education expenses (so you have to spend \$10,000 to get the entire credit). Be mindful that both of these credits are subject to phaseout if your income is too high.

Other Education Benefits

Find out if your employer will help you pay for school. Employer-provided educational assistance can be extremely powerful. If you have a family business, it can pay for somebody's schooling. Then the business can take up to a \$5,250 deduction, which the recipient receives tax-free. Another possibility is a deduction for tuition and fees. Interest on EE U.S. Savings Bonds may be tax-free if used to pay for qualified education expenses. Student loan interest may be tax deductible as well. Each of these tax benefits is subject to phaseout if your income is too high. See IRS Publication 970 for details.

Lastly, you may be able to take a deduction against your state income taxes (if your state has a tax) by making contributions to a 529 college savings plan. In many cases, you can take the money back out shortly after making the contribution (within a few months or less).

Tax Breaks Related to Having Children

There are many tax subsidies related to having children. Here is a short list of some of the more common tax benefits:

1. The Basic Dependency Exemption—For 2012 this deduction is up to \$3,800 per dependent child. To qualify, the child must live with you, be under nineteen (twenty-four if a full-time student), and not be self supporting. See IRS Publication 501.
2. The Child Tax Credit—There is a \$1,000 credit available for each child under the age of seventeen. This credit is subject to a phaseout if the taxpayer has too much income. See IRS Publication 972.
3. Educational Credits and Deductions—the American Opportunity Tax Credit and the Lifetime Learning Credit benefits will apply if you are